

Heilman Auto Group

Ardmore · West Chester · Hatboro, Pennsylvania · Established 1986

PREPARED FOR **Jack Heilman, Owner**
SUBJECT **Margin recovery & shop-floor efficiency**
DATE **June 2026**

Three core margin levers plus the moves that enable them, each modeled on conservative assumptions. Two require zero capital and can move this week. Every dollar figure is directional and should be re-run against live repair-order, payroll, and parts-invoice data before final commitment.

WHAT'S INSIDE

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| 1 | Margin Recovery Brief
The three levers on one page — labor rate, shop supplies, Tekmetric — and the combined opportunity. | ~\$619K / yr |
| 2 | The Reason Why
Each recommendation stripped to the single justification an owner can repeat to a skeptic. | 5 moves |
| 3 | Calculator Snapshots
The inputs and headline math behind each lever — labor rate, Tekmetric ROI, shop supplies fee. | 3 models |
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All currency computed in integer cents — no floating-point error. Figures assume ~9 productive techs, 50–52 working weeks, ~600 ROs/mo, and that current volume holds; tech proficiency and the Tekmetric quote are estimates — confirm against live data before committing. Levers are independent; consumables recovery is counted once (Shop Supplies), excluded from the Tekmetric figure to avoid double-

Three independent levers, each modeled on conservative inputs. **Two require zero capital and can move this week.** The numbers below are directional and assumption-driven — every figure is adjustable in the live calculators and should be re-run against real RO, payroll, and parts-invoice data before final commitment.

1

Labor Rate Update
\$139 → \$169 / hr
+\$432K
per year · +\$36K/mo

- Nearly all margin — almost no added cost
- 14,400 billed hrs × \$30 uplift
- Same wrenches, same bays
- Needs: online booking + proof of your real rate

2

Shop Supplies Fee
7% of labor · capped \$40
+\$140K
per year · +\$11.7K/mo

- No upfront cost — live this week
- Recovers consumables invisibly
- Recovers consumables without small line items
- Trust win + margin in one move

3

Tekmetric Shop System
~\$1,500/mo (est.) · 3 locations
8.3 days
to pay for itself / month

- \$3.61 back on every \$1
- +\$47K/yr net — labor recovery alone
- Bulletproof PA-compliant audit trail
- Idle-bay + collections = pure upside

COMBINED ANNUAL OPPORTUNITY — DIRECTIONAL, SEPARATE LEVERS, NO DOUBLE-COUNT

~\$619K / yr

Labor Rate

+ \$432,000

Shop Supplies

+ \$140,400

Tekmetric (net)

+ \$47,052

EXECUTION SEQUENCE

- 1 Shop Supplies Fee — this week. No capital, immediate margin + goodwill. Disclose on the estimate and with shop signage.
- 2 Tekmetric eval — start now. The platform that captures unbilled labor, automates the supplies fee, and creates the PA audit trail. Pays for itself by the 9th.
- 3 Labor rate to \$169 — once the new site and proof of your real rate are in hand. The big lever. Roll it out alongside the video inspection — and not the same month as the supplies fee — so customers see new value, not just a higher price.

NON-NEGOTIABLE: PA COMPLIANCE

ITEMIZE AND DOCUMENT.

Every estimate must be exact, itemized, and carry documented pre-authorization. A disputed estimate without signed authorization loses 100% of the time. The shop-supplies fee must appear as its own disclosed line. Tekmetric's timestamped digital authorization turns that compliance risk into a documented, protected record.

All currency in integer cents — no rounding error. Assumes ~9 techs, 50–52 weeks, ~600 ROs/mo, and that volume holds; proficiency and the Tekmetric quote are estimates — confirm against live data (even with a modest dip, the levers stay clearly

These build on the reputation Jack and the team have spent nearly four decades earning. None of them change what works — they carry that hard-won trust forward into how the shops price, book, and protect their work. Each move, with the one reason it earns its place.

1 Raise the labor rate — \$139 → \$169/hr

~100% margin · +\$432K/yr

The shops' rates have held steady for years while the market around them kept climbing. Comparable independent shops across the affluent Main Line and Chester County corridor now sit higher, and a brand-new shop nearby opened at \$170. A rate increase is the **one lever that adds almost no cost** — no extra parts, labor, or bay time — and nearly four decades of earned trust more than support it.

BOTTOM LINE

Newer shops already charge \$170. Heilman's reputation has earned the right to at least match the market.

2 Roll fluids into a Shop Supplies Fee — 7% of labor, capped \$40

No upfront cost · +\$140K/yr · live this week

Itemizing small consumables like washer fluid or a half-quart of oil recovers pennies, but it can rub a loyal customer the wrong way. Rolling them into a single **capped shop-supplies fee** recovers the same cost quietly across the ticket — and frees the team to keep giving away the small stuff that builds goodwill, the goodwill that brings the \$1,500 jobs back.

BOTTOM LINE

A small structural fee protects the margin and the relationship at the same time.

3 Add a shop-management system across all 3 shops

~\$1,500/mo (est.) · pays for itself by the 9th · \$3.61 back per \$1

The shops have run on paper and built a loyal following doing it — but across three locations, paper makes it easy to lose the last 0.2 hours of diag or cleanup, and it can't timestamp a digital authorization. A system like Tekmetric captures that work automatically, ends the phone-vs-online double-bookings that leave bays idle, and turns every authorization into a clean, PA-compliant record. The recovered time alone covers the cost in the **first week and a half of each month**.

BOTTOM LINE

Paper got the shops this far. A system is what lets them grow without losing the details.

4 Reprice diagnostics to 1.0 hr of the new rate — paired with Video MPI

\$100 → \$160+ · higher close rate on the repair that follows

Diagnostics use the most expensive tools and the most skilled hands in the building. Pricing a full diagnosis at a fair hour of labor simply matches the fee to the skill it takes to trace a CAN-bus fault or EVAP leak. Pairing it with a **video multi-point inspection — built right into Tekmetric's DVI** — makes that fee easy to understand: the tech records the fault and sends it to the customer's phone, and when they see the problem on screen, they approve the repair with confidence.

BOTTOM LINE

Price the expertise fairly, and let the video do the explaining.

5 Upgrade the digital front door — and it's already built

Redesign mockup done · platform wiring next

The current site has served the shops well, but it can't take a digital authorization or deliver the video that lifts the average repair order. So the next version is **already built and ready to show** — a redesign that keeps Heilman's original logo and red-white-blue branding, leads with the 1986 honesty story, puts the real shop photos and customer reviews front and center, and books an appointment in two taps (pick location, pick service). The next step is connecting it to a scheduling platform so every booking becomes a signed, timestamped, PA-compliant record instead of a phone-tag callback.

BOTTOM LINE

The new front door is built on the brand you've always had. Approve the platform and it goes live.

Effective Labor Rate — Revenue Recovery

What an hour at \$169 instead of \$139 brings back.

INPUTS

PRODUCTIVE TECHS 9	BILLED HRS / TECH / WEEK 32	WORKING WEEKS / YEAR 50
CURRENT RATE \$139	PROPOSED RATE \$169	ANNUAL BILLED HOURS 14,400

REVENUE RECOVERY — SAME WRENCHES, SAME BAYS		
ADDED / MONTH \$36,000	ADDED / YEAR \$432,000	ADDED MARGIN ~95%

Current revenue @ \$139 (14,400 hrs)	\$2,001,600
Proposed revenue @ \$169	\$2,433,600
Recovered gross margin / year	+ \$432,000

BOTTOM LINE

The rate increase carries almost no added cost — no extra parts, labor, or bay time. It's the highest-margin lever on the board.

DELTA = billed_hrs × (proposed – current). All currency computed in integer cents. Replace inputs with live shop data before commitment.

Tekmetric ROI — Days to Payback

Conservative, labor-recovery only. Consumables counted once in the Shop Supplies model, so nothing is double-counted.

INPUTS

COST / LOCATION / MONTH \$500	LOCATIONS 3	SYSTEM COST / MONTH (EST.) \$1,500
PRODUCTIVE TECHS 9	LOST HRS / TECH / WEEK 1.0	LABOR RATE · WEEKS \$139 · 52

IT PAYS FOR ITSELF IN THE FIRST WEEK AND A HALF OF EVERY MONTH		
DAYS TO PAYBACK 8.3	RETURN / \$1 SPENT \$3.61	BREAK-EVEN 10.8 hrs/mo

Recovered unbilled labor / year	+ \$65,052
Tekmetric system cost / year	− \$18,000
Net annual gain	+ \$47,052

BOTTOM LINE
Paper got the shops this far — a system captures the work paper can't, and pays for itself by the 9th. Not counted here, all upside: idle-bay recovery, faster collections, and the PA-compliant audit trail.

labor = techs × lost_hrs × weeks × rate · days = (monthly cost ÷ monthly recovery) × 30. Conservative defaults — push lost-hours up to your real number and payback drops.

Shop Supplies Fee — Margin & Goodwill

Recover consumables invisibly while giving away the \$3 top-offs.

INPUTS

REPAIR ORDERS / MONTH 600	AVG LABOR / RO \$450	CONSUMABLES / RO \$12
FEE — % OF LABOR 7.0%	HARD CAP / RO \$40	BREAK-EVEN FEE % 2.7%

NET MARGIN AFTER RECOVERING CONSUMABLES COST		
NET / REPAIR ORDER \$19.50	NET / MONTH \$11,700	NET / YEAR \$140,400

Fee charged / RO (7% of \$450, under cap)	\$31.50
Consumables cost recovered / RO	– \$12.00
Net margin / RO	+ \$19.50

BOTTOM LINE

A small structural fee protects the margin and the relationship at the same time. Zero capital, live this week.

charged = min(round(labor × bp ÷ 10000), cap). PA compliance: the shop-supplies fee must be disclosed and itemized as its own line.<